OFFERING MEMORANDUM

Birchwood Village | Oklahoma City, OK

Property	Birchwood Village
Location	2546 Mill Avenue, Oklahoma City, OK 16991
Property Type	Mixed-Use
Size	116,000 SF
Year Built	1997
Offering	Unpriced - Offers Due June 3, 2022

Investment Overview

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is walkable to transit, with 18 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital.

Supply and Demand

Market vacancy for comparable Mixed-Use product stands at 11.0%, down from 5.6% two years ago. The property is walkable to transit, with 31 structured parking spaces shared between uses. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Birchwood Village is located in Oklahoma City, OK, a market that has recorded 12.3% population growth over the last five years.

The property is walkable to transit, with 23 structured parking spaces shared between uses. Investor demand for Mixed-Use assets in Oklahoma City remains strong with recent trades at capitalization rates between 7.93% and 7.93%. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Birchwood Village is located in Oklahoma City, OK, a market that has recorded 13.6% population growth over the last five years. Median household income within a 2-mile radius of the property is approximately $172,000 and has grown 2.6% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

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The project combines ground-floor retail and restaurant space with upper-level residential and office components. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 4.5% with an equity multiple of 1.3x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Demographics and Employment

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